XYZ ALBERTA INC

EXAMPLE ONLY

Compiled Financial Information
(date)

ACCOUNTANT

Chartered Professional Accountant

COMPILATION ENGAGEMENT REPORT

To Management of XYZ

On the basis of information provided by management, we have compiled the balance sheet of 1the period then ended, and Note 1, which describes the basis of accounting applied in the preparation of the compiled financial information ("financial information").

Management is responsible for the accompanying financial information, including the accuracy and completeness of the underlying information used to compile it and the selection of the basis of accounting.

We performed this engagement in accordance with Canadian Standard on Related Services (CSRS) 4200, *Compilation Engagements*, which requires us to comply with relevant ethical requirements. Our responsibility is to assist management in the preparation of the financial information.

We did not perform an audit engagement or a review engagement, nor were we required to perform procedures to verify the accuracy or completeness of the information provided by management. Accordingly, we do not express an audit opinion or a review conclusion, or provide any form of assurance on the financial information.

Readers are cautioned that these financial statements may not be appropriate for their purposes.

ACCOUNTANT

Calgary, Alberta
DATE

Chartered Professional Accountant

XYZ Alberta Inc.
Balance Sheet
As at November 3, 2024

	November 3, 2024	December 31, 2023
Assets		
Current		
Cash	$ 163,788	$ 159,436
Income taxes receivable	3,158	-
Due from related party	-	1,890
Inventory	85,440	63,911
Deposit	5,524	5,524
	257,910	230,761
Property and equipment ***(net of accumulated amortization)***	64,245	78,282
Franchise fees	12,847	14,583
	$ 335,002	$ 323,626
Liabilities		
Current		
Accounts payable and accrued liabilities	$ 14,820	$ 8,663
GST payable	3,531	10,348
Income taxes payable	-	11,352
Deferred income	13,098	16,166
Due to related party	68,121	6,142
Due to shareholders	67,375	-
	166,945	52,671
Long-term debt	-	40,000
	166,945	92,671
Shareholders' Equity		
Share capital	100	100
Retained earnings	167,957	230,855
	168,057	230,955
	$ 335,002	$ 323,626

Approved on behalf of the Board

_____ (Director)

XYZ ALBERTA INC.
Statements of Operations and Retained Earnings

	Period Ended November 3, 2024	Year Ended December 31, 2023
Revenue		
Sales	$ 930,265	$ 1,134,653
Cost of goods sold	530,977	656,119
Gross margin	399,288	478,534
General and administrative expenses		
Advertising and promotion	26,899	28,133
Amortization	12,706	17,035
Automotive and travel	5,920	8,198
Bank charges and interest	10,817	11,664
Insurance	6,577	9,371
Interest on long-term debt	-	515
Management fees	95,197	30,000
Meals and entertainment	458	35
Office	35,741	10,833
Professional fees	6,300	8,889
Rent	90,693	105,727
Repairs and maintenance	2,179	537
Royalty fees	46,443	57,031
Salaries and wages	78,935	86,797
Supplies	1,493	565
Telephone and utilities	10,136	9,910
	430,494	385,240
Net income before other items	(31,206)	93,294
Other items		
Insurance recoveries	-	10,523
	-	10,523
Net income before income taxes	(31,206)	103,817
Income taxes - current	(3,149)	11,352
Net income for the period	(28,057)	92,465
Retained earnings, beginning of period	230,855	138,390
Dividends	34,841	-
Retained earnings, end of period	$ 167,957	$ 230,855

1. Basis of Accounting

The basis of accounting applied in the preparation of the financial information is on the historical cost basis, reflecting cash transactions with the additions of:

- Accounts receivable and accrued receivables;
- Accounts payable and accrued liabilities;
- Capital assets recorded at historical cost and amortized on a straight-line basis for assets related to leasehold improvements and intangibles, and on a declining balance basis for other fixed assets; and
- Current income and other taxes payable as at the reporting date.